PRAGATI MICROFIN LIMITED

Lending Policy: Individual Micro Loans (IML)
Board approved, FY 2026-27

1. Objective
To provide small-ticket income generation and consumption loans to low-income households in semi-urban and rural India.

2. Operating area
2.1 The IML product is offered through our branch network in Madhya Pradesh, Maharashtra, Rajasthan and Uttar Pradesh.
2.2 IML is not offered in Mumbai or Delhi.

3. Borrower eligibility
3.1 Age between 21 and 60 years.
3.2 Minimum household income of Rs. 1,20,000 per annum.

4. Loan size
Maximum loan amount per borrower: Rs. 1,50,000.

5. Pricing
The interest rate shall be between 20% and 32% per annum, in line with the Fair Practices Code.

6. Group lending
Borrowers who are part of a Joint Liability Group (JLG) are eligible for a higher first-cycle limit, subject to group meeting attendance.

7. Credit bureau
Bureau checks are performed for all applicants to ensure the borrower is not associated with more than three lenders.